

Cyient's Q3FY22 performance was in-line with our estimates across the board

- \$ Revenue came in at \$157.9Mn, +5.1% qoq / +11.6% yoy and -0.3% vs. estimates
- INR revenue came in at INR 11,834 Mn, +6.5% qoq / +13.3% yoy and -0.3% above our estimates
- EBIT at INR 1,642 Mn, +5.6% qoq / +47.3% yoy and -0.5% below our estimates
- EBIT margins stood at 13.9%, vs 14% / 10.7% in Q2FY22 / Q3FY21 respectively and in-line with our est.
- PAT came in at INR 1,317 Mn, +8.6% qoq / +43.3% yoy and 0.6% above our estimates
- EPS at INR 12.07 in Q3FY22 vs 11 / 8.4 in Q2FY22 / Q3FY21 respectively
- Order intake stood at \$200.6 Mn in Services (+63.6% qoq / +12.8% yoy) and \$24.9 Mn in DLM (-25.4% qoq / +50% yoy). Cyient won 7 large deals with TCV potential of \$68.8 Mn.

FY22 Guidance

- Double digit growth in Services in FY22
- DLM growth will be impacted due to supply side challenges
- FY22 margin expansion guidance improved from 250-300 bps+ to 350 bps+ for full year

Business Unit Performance

- Services revenue stood at \$129.1 Mn, +3.6% qoq (+4.4% in cc terms) / +11.9% yoy. DLM revenue stood at \$28.8 Mn +10.6% qoq / +12.8% yoy

Services Highlights

- Transportation (36.9% of revenue) reported a degrowth of -0.5% qoq / +5.6% yoy. Within Transportation - Aerospace (25.9% of rev) grew 3.9% qoq / 14.5% yoy and Rail (11% of revenue) was down -9.5% qoq / -10.6% yoy
- Portfolio services (27.9% of rev) grew at +10.2% qoq / +24.5% yoy
- Comms (27.3% of revenue) grew +3.5% qoq / +3.5% yoy and Utilities (8% of revenue) grew at +2.3% qoq / +41.4% yoy.

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21E	FY 22E	FY 23E	FY 23E
Net sales	44,274	41,324	45,156	52,724	62,633
EBITDA	5,893	6,100	8,126	9,003	11,105
Adjusted net profit	3,423	3,714	4,968	5,517	6,918
Free cash flow	2,787	6,154	6,973	6,895	6,542
EPS (Rs)	30.5	33.0	44.2	49.1	61.6
growth (%)	-29%	9%	34%	11%	25%
P/E (x)	32.0	29.5	22.1	19.9	15.9
P/B (x)	4.3	3.7	3.4	3.1	2.7
EV/EBITDA (x)	17.2	15.7	11.2	9.5	7.3
ROCE (%)	12.7	12.5	15.0	15.3	17.4
RoE (%)	13.4	13.5	16.0	16.1	18.2
Dividend yield (%)	1.5	1.7	1.8	2.0	2.5

Source: Company

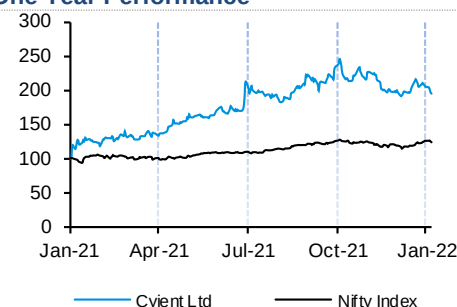
Rating	TP (Rs)	Up/Dn (%)
BUY	1,231	26

Market data

Current price	Rs	976
Market Cap (Rs.Bn)	(Rs Bn)	108
Market Cap (US\$ Mn)	(US\$ Mn)	1,446
Face Value	Rs	5
52 Weeks High/Low	Rs	1292 / 490
Average Daily Volume	('000)	229
BSE Code		532175
Bloomberg		CYL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	23.41	23.43
Public	76.59	76.57
Total	100	100

Source: BSE

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Geographical Highlights

- **North America** (49.2% of revenue) grew at +5.9% qoq / +12.1% yoy growth. **APAC including India** (25.7% of revenue) grew at +2.4% qoq / +11.8% yoy growth
- **EMEA** (25.7% of revenue) grew at +2.4% qoq / +11.8% yoy growth

Conference Call Key Takeaways

Segment-wise highlights

- **Aerospace:** Growth was largely driven by increased business in key accounts, addition of a new customer in North America and a couple of deals secured in the aftermarket services as well as design & manufacturing of embedded systems. Regional aviation has recovered to 90% of pre-COVID, intercontinental is at 50% but this should improve over the next 12 months. Already seeing some green shoots in aerospace.
- **Rail:** Offshoring in certain projects and cost efficiency and supply chain optimization initiatives driven by on-going consolidation amongst 2 clients impacted growth during Q3. However, management expects this business unit to recover over the next few quarters.
- **Communications:** 2 large deals won in Q3 were in this segment + Rural Digital Opportunity Fund in North America strengthens outlook for FY22 and beyond
- **Portfolio:** 4 out of 6 subsegments grew at 20% yoy and outlook is positive in Automotive & Off-highway, Mining & Natural Resources, Med Tech and Healthcare and Energy, Industrial and Plant Engineering
- **Utilities:** Reported good growth during the quarter and management sees healthy momentum
- **DLM** will see mid-single digit growth in FY22 and thus a big de-growth in Q4FY22 because of the chip shortage which is causing delivery challenges which can continue over the next 12 months. Management is combatting the dip in revenue by only executing higher margin (8-10% EBIT margin) contracts. However, management expects the chip shortage to recede gradually over the next 12-18 months. Therefore, expect DLM business to be slightly volatile in the short term and then stabilize from Q1 or Q2FY23 onwards. One can expect DLM business to deliver 15-20% growth in FY23 and 25-30% growth in DLM EBIT due to better quality of revenue.

Other Highlights

- **Deal wins:** Order intake in Services increased by 64% qoq and 12.8% yoy. Won 7 large deals during Q3 out of which 4 deals were more than \$10 Mn TCV
- Net Headcount addition was soft at +95 during the quarter due to extremely high attrition. However, will ramp up headcount addition in Q4 and addition should be equal to total of 9MFY22
- Approximately 85-90% of order intake will be executable in next 12 months
- **Margin outlook:** expect FY22 margins to increase 350 bps yoy. Margin improvement is sustainable due to several levers such as customers are slightly more receptive in terms of price increases, automation, some of the resources are trained during last year therefore subcon replacement, pyramid restructuring and better revenue mix in DLM
- New age tech business, which is a high growth segment, contributes ~25% to topline vs 18% last year
- Reduced rate of Depreciation and Amortization during should continue in the future
- **Management sees big growth opportunity in the Automotive space. Automotive will be a focus area and the company has a well-articulated strategy wherein it will not only strengthen the core, but also look at potential M&As**

Quarterly Performance Analysis

Exhibit 1

YE March (Rs. mn)	Q3 FY22	Q2 FY22	Q-o-Q change %	Q3 FY21	Y-o-Y change %	Q3 FY22 Est.	Deviation %
Total Revenue (USD Mn)	157.9	150	5.1%	142	11.6%	158	-0.3%
Total Revenue (INR Mn)	11,834	11,116	6.5%	10,443	13.3%	11,868	-0.3%
Less:							
Cost of Revenues	7,455	6,992	6.6%	6,740	10.6%	7,411	0.6%
SG&A Expenses	2,261	2,052	10.2%	2,102	7.6%	2,255	0.3%
Total Expenditure	9,716	9,044	7.4%	8,842	9.9%	9,666	0.5%
EBIDTA	2,118	2,072	2.2%	1,601	32.3%	2,202	-3.8%
Less: Depreciation	486	517	(6.0%)	486	0.0%	552	-12.0%
EBIT	1,632	1,555	5.0%	1,115	46.4%	1,650	-1.1%
Interest Paid	105	88	19.3%	120	(12.5%)	88	
Other income (expense), net	221	149	48.3%	219	0.9%	237	-6.9%
Profit Before Tax	1,748	1,616	8.2%	1,249	40.0%	1,800	-2.9%
Tax	418	440	(5.0%)	339	23.3%	490	-14.7%
PAT before Minority Interest	1,318	1,213	8.7%	954	38.2%	1,310	0.6%
Profit After Tax	1,318	1,213	8.7%	954	38.2%	1,310	0.6%
Adjusted PAT	1,318	1,213	8.7%	919	43.4%	1,310	
Basic & Diluted EPS (Rs.)	12.0	11.0	8.7%	8.4	43.4%	11.9	0.6%
Basic & Diluted Outstanding (m)	110	110		110		110	
Margin Analysis %			Change In bps	Change In bps			
EBIDTA Margin	17.9%	18.6%	-74	15.3%	257	18.6%	-66
EBIT Margin	13.8%	14.0%	-20	10.7%	311	13.9%	-12
PBT Margin	14.8%	14.5%	23	12.0%	281	15.2%	-39
NPM	11.1%	10.9%	23	9.1%	200	11.0%	10
Effective Tax Rate (%)	24.6%	24.9%	-34	23.6%	98	27.2%	-263
Cost Analysis %			Change In bps	Change In bps			
Cost of Revenues/ Sales	63.0%	62.9%	10	64.5%	-154	62.4%	55
Other income/ PBT	12.6%	9.2%	342	17.5%	-489	13.2%	-55

Source: Dalal & Broacha Research, Company

Services grew at 3.6% qoq / 11.9% yoy and DLM business grew 12.8% qoq / 10.6% yoy

Services EBIT margin stood at 15.6% and DLM EBIT margin stood at 6%

FCF generation during Q3 was at INR 1,596 Mn

EBIT margins to improve by 350 bps yoy in FY22

Management indicated that margins are sustainable with several levers at hand

Valuation & Outlook

Q3FY22 was decent quarter performance for services and DLM coupled with robust order book wins and healthy FCF generation. Management has done a good job in improving operational margin performance and has given a strong outlook regarding the same.

Management has called out that outlook for consolidated revenue growth in Q4 is muted due to chip shortages and should stabilize from Q1 or Q2FY23 onwards. Transportation should also recover gradually as Aviation recovers globally and Rail business unit recovers post on going consolidation amongst clients. Growth outlook excluding Transportation remains healthy.

At 19.9x / 15.9x FY23e / FY24e EPS, Cyient is the cheapest ER&D player as far as valuations are concerned. Taking this and above-mentioned factors into consideration, we recommend a BUY rating on the stock with a target price of INR 1,231, based on a conservative 20x (relative to peers which are trading in the range of 40-60x forward) FY24e EPS.

Financial

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Total Revenue	44,274	41,324	45,156	52,724	62,633
Less:					
Cost of Services	4,066	5,165	5,703	6,068	7,403
Employee Cost	24,776	21,611	23,012	26,965	31,442
SG&A Expenses & Other	9,683	8,350	8,472	10,295	12,214
Total Operating Expenditure	38,381	35,224	37,030	43,721	51,529
EBIDTA	5,893	6,100	8,126	9,003	11,105
Less: Depreciation	1,878	1,945	1,970	2,162	2,568
EBIT	4,015	4,155	6,156	6,842	8,537
Growth %	-24.6%	3.5%	48.2%	11.1%	24.8%
Interest Paid	486	433	394	420	420
Non-operating Income	1,583	1,399	859	1,054	1,253
Profit Before tax	4,708	5,080	6,621	7,476	9,370
Tax	1,270	1,351	1,639	1,944	2,436
Net Profit before Minority	3,438	3,729	4,983	5,532	6,933
Minority Interest	-13	-13	-13	-13	-13
Profit/Loss of Associates	-28	-28	-28	-28	-28
Net Profit	3,397	3,688	4,942	5,491	6,892
Adjusted Profit	3,423	3,714	4,968	5,517	6,918
Reported Diluted EPS Rs	30.5	33.0	44.2	49.1	61.6
Growth %	-29.3%	8.5%	33.8%	11.1%	25.4%
Adjusted Diluted EPS Rs	30.5	33.0	44.2	49.1	61.6

Key Ratios					
EBIDTA (%)	13.3%	14.8%	18.0%	17.1%	17.7%
EBIT (%)	9.1%	10.1%	13.6%	13.0%	13.6%
NPM (%)	7.7%	9.0%	11.0%	10.5%	11.0%
RoE (%)	13.4%	13.5%	16.0%	16.1%	18.2%
RoCE (%)	13.5%	12.9%	17.6%	18.0%	20.5%
Tax Rate %	27.0%	26.6%	24.8%	26.0%	26.0%
Book Value Per share (Rs.)	227.8	263.1	289.7	319.2	356.1
Valuation Ratios					
P/E (x)	32.0x	29.5x	22.1x	19.9x	15.9x
EV/EBITDA	17.2x	15.7x	11.2x	9.5x	7.3x
P/BV (x)	4.3x	3.7x	3.4x	3.1x	2.7x
Market Cap. / Sales (x)	2.5x	2.7x	2.4x	2.1x	1.8x

Key Ratios (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Key Operating Ratios					
EBITDA Margin (%)	13.3%	14.8%	18.0%	17.1%	17.7%
Tax / PBT (%)	27.0%	26.6%	24.8%	26.0%	26.0%
Net Profit Margin (%)	7.7%	9.0%	11.0%	10.5%	11.0%
RoE (%)	13.4%	13.5%	16.0%	16.1%	18.2%
RoCE (%)	12.7%	12.5%	15.0%	15.3%	17.4%
Current Ratio (x)	2.6x	2.9x	3.5x	3.3x	3.3x
Dividend Payout (%)	49.3%	51.5%	40.0%	40.0%	40.0%
Book Value Per Share (Rs.)	227.8	263.1	289.7	319.2	356.1
Financial Leverage Ratios					
Interest Coverage (x)	12.1x	14.1x	20.6x	21.4x	26.4x
Growth Indicators %					
Sales Growth (%)	(4.1%)	(6.7%)	9.3%	16.8%	18.8%
EBITDA Growth (%)	(8.4%)	3.5%	33.2%	10.8%	23.3%
Net Profit Growth (%)	(29.3%)	8.5%	33.8%	11.1%	25.4%
Diluted EPS Growth (%)	(29.3%)	8.5%	33.8%	11.1%	25.4%

Balance Sheet (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	550	550	563	563	563
Reserves & Surplus	25,059	29,023	32,004	35,314	39,465
Equity	25,609	29,573	32,567	35,877	40,028
Net Worth	25,609	29,573	32,567	35,877	40,028
Net Deferred tax liability/(Asset)	4,170	3,646	3,345	3,720	3,571
Total Loans	883	619	355	91	-173
Capital Employed	30,662	33,838	36,267	39,688	43,426
Assets					
Gross Block	9,353	10,674	11,803	13,121	14,687
Less: Depreciation	5,148	5,804	7,774	9,936	12,504
Net Block	4,205	4,870	4,029	3,185	2,183
Investments	723	610	667	778	925
Current Assets					
Sundry Debtors	7,262	8,026	8,042	8,667	10,296
Cash and Bank Balance	9,250	14,650	19,341	24,460	28,246
Loans and Advances	7,756	5,341	3,387	3,533	4,196
Total Current Assets	29,269	32,144	34,083	40,458	47,265
Less: Current Liabilities					
Sundry Creditors	3,729	4,532	4,768	5,630	6,635
Total Current Liabilities	11,135	11,090	9,837	12,082	14,325
Capital Applied	30,662	33,838	36,267	39,688	43,426

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	3,423.0	3,714.0	4,967.5	5,517.3	6,918.5
Less: Non Operating Income	(1,583.0)	(1,399.0)	(859.5)	(1,054.5)	(1,252.7)
Add: Depreciation	1,878.0	1,945.0	1,970.4	2,161.7	2,568.0
Add: Interest Paid	486.0	433.0	394.0	420.0	420.0
Operating Profit before WC Changes	4,232.0	4,721.0	6,500.4	7,072.5	8,681.8
Net Cash From Operations	3,237.0	7,201.0	7,999.7	8,060.8	7,904.4
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	(2,553.0)	(2,610.0)	(1,128.9)	(1,318.1)	(1,565.8)
Cash Flow from Financing Activities					
(Inc)/Dec in Total Loans	(253.0)	(264.0)	(264.0)	(264.0)	(264.0)
Dividend Paid	(1,689.0)	(1,914.2)	(1,987.0)	(2,206.9)	(2,767.4)
Net Cash from Financing Activities	(2,648.0)	(1,012.0)	(2,932.7)	(2,515.8)	(3,601.2)
Net Inc/Dec in cash equivalents	(859.0)	5,359.0	4,690.6	5,119.0	3,786.0
Opening Balance	9,705.0	9,250.0	14,650.0	19,340.6	24,459.6
Closing Balance Cash and	8,846.0	14,609.0	19,340.6	24,459.6	28,245.6

Free Cash Flow Statement					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	5,893	6,100	8,126	9,003	11,105
FC Investment	1,028	1,321	1,129	1,318	1,566
WC Changes	-995	2,480	1,499	988	-777
Depreciation Tax Shield	507	517	488	562	668
Tax Expenses	1,590	1,622	2,011	2,341	2,887
FCF	2,787	6,154	6,973	6,895	6,542

Source: Dalal & Broacha Research, Company

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